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Secure Distribution Venture Pvt. Ltd.

What Is Structured Term Loans ?

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What Is Structured Term Loans ?

Executive Summary & Master Architecture Matrix

Structured Term Loans (STLs) represent an institutional corporate credit facility designed to bridge the structural gap between rigid plain-vanilla term debt and high-cost equity capital. Unlike standard corporate loans that enforce uniform, linear principal amortization regardless of operational cash flow volatility, a Structured Term Loan customizes every dimension of the debt contract—including principal repayment schedules, coupon structures, cash flow sweeps, credit enhancements, security packages, and financial covenants—to align precisely with the borrower's specific operational cash flow profile, asset monetization cycles, and gestation timelines.

In the Indian financial landscape, Structured Term Loans are extensively deployed across mid-market corporates, large conglomerates, infrastructure developers, special situation acquisitions, and project special purpose vehicles (SPVs). They provide critical capital for brownfield capacity expansions, M&A acquisitions, promoter equity refinancing, holding company debt consolidation, and growth capex where conventional bank lending criteria—such as immediate principal servicing or fixed asset coverage—cannot be satisfied upfront.

Architectural Parameter	Plain-Vanilla Term Loan	Structured Term Loan (STL)	Private Credit / Mezzanine AIF Debt
Primary Underwriting Focus	Historical Balance Sheet & Fixed Asset Collateral	Forward Operating Cash Flows, Contracted Receivables & Tailored Security	Enterprise Value, Asset Coverage & High Yield Recovery
Repayment Structure	Equated Monthly Installments (EMI) / Equal Quarterly Principal Amortization	Sculpted Amortization, Step-Up/Step-Down, Bullet/Balloon with Cash Sweeps	Bullet Repayment with Equity Kickers / Redemption Premium
Principal Moratorium	Standard 6–12 Months	Flexible 12–36 Months (Matched to Cash Flow Gestation)	24–48 Months (Interest-Only or PIK Options)
Pricing & Interest Cost	8.50% – 11.50% p.a. (MCLR / EBLR Floating Benchmark)	9.50% – 14.50% p.a. (Risk-Adjusted Floating/Fixed Rate)	15.00% – 20.00% p.a. (Gross Internal Rate of Return - IRR)

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Architectural Parameter	Plain-Vanilla Term Loan	Structured Term Loan (STL)	Private Credit / Mezzanine AIF Debt
Credit Enhancement	Basic Corporate/Personal Guarantee	SBLCs, Escrow TRA Sweeps, Share Pledges, Over-collateralization	Debt-Equity Conversion Swaps, Board Seats, Warrants
Primary Lenders	Scheduled Commercial Banks & Public Sector Banks	Private Banks, Top-Tier NBFCs & Institutional Debt Funds	Category II Alternative Investment Funds (AIFs)
Financial Covenants	Rigid Standard DSCR (≥ 1.35x), Fixed FACR (≥ 1.25x)	Dynamic Sculpted DSCR (1.20x - 1.50x), Cash Sweep Triggers	Asset Coverage Ratio (≥ 1.75x), Cash Burn Caps
Statutory Registration	ROC Form CHG-1 & CERSAI Filing within 30 Days	ROC Form CHG-1, CERSAI, NeSL & DTD Execution	ROC Form CHG-1, CERSAI, NeSL & Debenture Trustee

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Module 1: Product Overview & Core Fundamentals

1.1 Definition & Conceptual Framework

A Structured Term Loan is a customized medium-to-long term debt facility provided by commercial banks, Non-Banking Financial Companies (NBFCs), and institutional credit funds where the contractual loan parameters—amortization schedule, interest payment mechanics, collateral hierarchy, and credit enhancement features—are bespoke-engineered to match the borrower's cash flow generation timeline.

In traditional commercial banking, term loans operate under a rigid "one-size-fits-all" model. Borrowers are required to commence equal monthly or quarterly principal repayments shortly after disbursal, supported by primary land and building security. However, modern corporate operations—such as commissioning a new manufacturing plant, integrating an acquired business, executing a long-term supply contract, or completing an urban infrastructure project—exhibit highly non-linear cash flow trajectories. During early gestation phases, cash flows are low or negative, rising exponentially as capacity utilization scales up.

Structured Term Loans resolve this fundamental mismatch. By engineering repayment schedules that feature initial principal moratoriums, step-up amortization, interest capitalization options, and mandatory cash flow sweeps, STLs allow corporate borrowers to fund high-growth initiatives without risking technical default or operational cash insolvency during early execution phases.

1.2 The Structured Debt Paradox in Corporate Finance

Corporate treasurers face a persistent structural paradox when funding capital-intensive growth or debt restructuring: 1. **The Equity Dilution Barrier:** Equity financing provides maximum cash flow flexibility (no mandatory fixed debt service), but it heavily dilutes promoter ownership, permanently forfeiting future upside and incurring a high cost of equity capital (typically 18%–22% p.a. in Indian markets). 2. **The Vanilla Debt Default Risk:** Plain-vanilla bank debt offers a low cost of capital (8.50%–11.00% p.a.) and tax-deductible interest shields, but its inflexible, immediate principal repayment schedules create acute liquidity distress when cash flows are delayed or seasonal. 3. **The Structured Debt Solution:** Structured Term Loans resolve this paradox by combining the low-cost, tax-shielded nature of debt with the cash-flow-aligned flexibility of equity. By structuring custom grace periods, interest-only phases, and cash sweeps, STLs act as "quasi-equity debt"—preserving promoter equity while insulating the business against short-term liquidity shocks.

1.3 Statutory & Regulatory Framework in India

Structured Term Loans in India operate under a comprehensive statutory framework enforced by the Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), and Ministry of Corporate Affairs (MCA): * **RBI Master Directions on Commercial Banks – Credit Facilities (2025/2026):** Governs sanctioning, credit appraisal, exposure limits, consortium arrangements, and structured credit facilities granted by scheduled commercial banks. * **RBI Income Recognition, Asset Classification and Provisioning (IRACP)**

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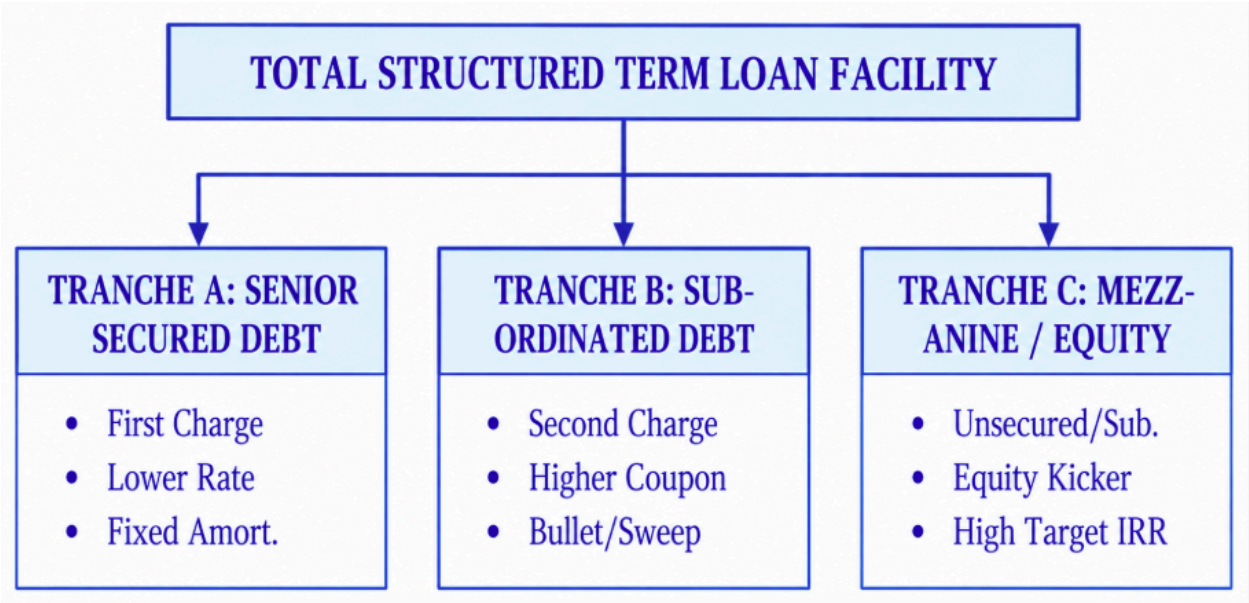
Norms: Defines default criteria, Special Mention Account (SMA) classification (SMA-0, SMA-1, SMA-2), and Non-Performing Asset (NPA) categorization at 90 days overdue. Governs restructurings, Date of Commencement of Commercial Operations (DCCO) extensions, and moratorium rules. * **Companies Act, 2013:** * *Section 42 & Section 71:* Governs private placement of structured debt and issuance of Non-Convertible Debentures (NCDs) with Debenture Trust Deed (DTD) execution. * *Section 77 & Section 78:* Mandates registration of created charges over corporate assets with the Registrar of Companies (ROC) via Form CHG-1 within 30 days. * *Sections 179 & 180:* Mandates Board resolutions and Shareholders' Special Resolutions for borrowing limits exceeding paid-up capital and free reserves. * **SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021:** Governs structured term debt issued in the form of listed or unlisted Non-Convertible Debentures (NCDs) subscribed by institutional investors, insurance companies, and mutual funds. * **SARFAESI Act, 2002 & Transfer of Property Act, 1882:** Governs the creation of Section 58(f) Equitable Mortgages and enforcement of security interest under Section 13 without court intervention upon default. * **Insolvency and Bankruptcy Code (IBC), 2016:** Protects participating lenders as "Financial Creditors" under Section 5(8), allowing initiation of Corporate Insolvency Resolution Process (CIRP) under Section 7 upon default.

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Module 2: Structural Mechanics, Tranches & Cash Flow Waterfalls

2.1 Multi-Tranche Capital Architecture

A typical Structured Term Loan facility is engineered with distinct tranches that reflect varying risk-return profiles, security priorities, and funding sources:



1. **Tranche A (Senior Secured Facility):** Forms 60%–75% of the total debt stack. Holds a first exclusive charge over primary fixed assets, land, building, and escrowed cash flows. Features the lowest pricing (EBLR/MCLR + 1.50%–2.50% p.a.) and structured quarterly amortization.
2. **Tranche B (Subordinated / Junior Debt Facility):** Forms 15%–25% of the stack. Holds a second charge on assets and escrow receivables. Absorbs initial credit losses, allowing higher overall leverage. Features higher pricing (12.50%–15.00% p.a.) with bullet repayment or cash sweep mechanisms.
3. **Tranche C (Mezzanine Debt / Equity Kicker Component):** Forms 5%–15% of the capital structure. Combines subordinated debt with equity warrants or redemption premiums to target a gross IRR of 16.00%–20.00% p.a., bridging the equity funding gap.

2.2 Amortization & Repayment Variations

Structured Term Loans eliminate rigid linear amortization, offering five primary repayment modalities: * **Sculpted Amortization:** Principal repayment amounts are calculated period-by-period based on projected operational cash flows (CFADS - Cash Flow Available for Debt Service) to maintain a constant, stable Debt Service Coverage Ratio (e.g., target DSCR = 1.35x). * **Step-Up Amortization:** Minimal principal repayments (e.g., 5% p.a.) in Years 1–2 during capacity ramp-up, stepping up to 15% p.a. in Year 3, 25% p.a. in Year 4, and 30% p.a. in Year 5. * **Bullet Repayment with Cash Sweeps:** Principal remains

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unamortized during the loan tenure, with 100% of the loan principal maturing as a bullet payment at tenure end. To mitigate refinance risk, the lender enforces mandatory periodic cash sweeps (e.g., 50% of annual free cash flow above a 1.20x DSCR threshold) to prepay principal. * **Balloon Amortization:** 40%–60% of principal amortizes over the loan tenure in structured quarterly installments, while the remaining 40%–60% "balloon balance" matures as a final lump-sum payment at maturity. * **Interest-Only Grace Period (Gestation Moratorium):** 100% of principal is deferred for an initial 12-to-36-month period, during which the borrower services only monthly interest. Principal amortization commences after commercial operations stabilize.

2.3 The 6-Tier Escrow & Trust and Retention Account (TRA) Waterfall

To guarantee ring-fencing of corporate cash flows, a mandatory **Trust and Retention Account (TRA)** is established with an Authorized Dealer (AD) Category-I Bank under a Tripartite Escrow Agreement executed between the Borrower, Lending Syndicate, and Escrow Agent Bank.

All operational revenues, contract collections, customer receivables, and asset monetization proceeds must be deposited directly into the TRA Account. Disbursements from the TRA follow a strict statutory 6-tier payment waterfall:



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1. **Tier 1 (Statutory Dues):** Direct payment of Goods and Services Tax (GST), Tax Deducted at Source (TDS), customs duties, and municipal property taxes to prevent statutory encumbrances.
2. **Tier 2 (Essential O&M Expenses):** Payment of LIE-budgeted plant operating expenses, utility bills, raw material supplier invoices, and employee payroll to ensure unhindered plant operations.
3. **Tier 3 (Senior Debt Servicing):** Monthly interest and scheduled principal quarterly installments on Tranche A Senior Secured Term Loans.
4. **Tier 4 (Debt Service Reserve Account - DSRA):** Maintenance and top-up of a liquid DSRA cash buffer equal to 1 to 2 quarters of principal and interest debt service.
5. **Tier 5 (Cash Flow Sweep & Junior Debt):** Allocation of 50%–75% of remaining excess cash flows toward prepaying senior principal or servicing Subordinated Tranche B debt.
6. **Tier 6 (Free Surplus Release):** Unencumbered residual cash is released to the corporate borrower for general corporate purposes, reinvestment, or promoter dividend distributions, provided all financial covenants (DSCR $\geq$ 1.25x) are satisfied.

2.4 Credit Enhancement Architecture

Structured Term Loans incorporate robust credit enhancement mechanisms to elevate the credit profile of mid-market corporates: * **Standby Letters of Credit (SBLC) / Financial Guarantees:** Guarantees issued by Category-I Banks or AA-rated parent entities covering debt service default. * **Over-Collateralization & Margin Cushions:** Creation of security coverage ranging from 1.50x to 2.00x of loan value using commercial land, plant, machinery, or liquid investments. * **Promoter Share Pledge & Non-Disposal Undertaking (NDU):** Pledge of 51% to 100% of promoter equity shares in the corporate/SPV entity under Section 172/176 of the Indian Contract Act, 1872, accompanied by an NDU preventing dilution of promoter management control. * **Personal & Corporate Guarantees:** Unconditional, irrevocable personal guarantees from promoter-directors and corporate cross-guarantees from holding/group operating companies. * **Subordination of Promoter Unsecured Debt:** Formal subordination deed rendering all promoter loans and group advances junior to the Structured Term Loan, with an absolute bar on promoter loan interest or principal withdrawal until senior debt is fully extinguished.

Module 3: Comparative Capital Architecture Matrix

To understand where Structured Term Loans fit within corporate capital structures, the following matrix compares STLs against traditional commercial term loans, working capital facilities, private credit debt, and equity financing:

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Structural Dimension	Plain-Vanilla Term Loan	Structured Term Loan (STL)	Working Capital Cash Credit / WCDL	Private Credit / Mezzanine Debt	Equity / Convertible Capital
Primary Underwriting Driver	Historical Fixed Assets & Tangible Net Worth	Projected Cash Flow Available for Debt Service (CFADS)	Drawing Power (Stock, Book Debts, Receivables)	Enterprise Value, Asset Coverage & Liquidation Recovery	Growth Potential, Market Multiples & Future Valuation
Capital Facility Mix	100% Fund-Based Term Debt	Multi-Tranche (Senior Fund-Based + Subordinated / Mezzanine)	Revolving Fund-Based & Non-Fund Based (LC/BG)	High-Yield NCDs, Subordinated Debt & Mezzanine Debt	Pure Common Equity / Compulsorily Convertible Preference Shares (CCPS)
Loan-to-Cost (LTC) / LTV Cap	50.0% – 65.0% of Fixed Assets	70.0% – 80.0% of Capital Outlay / Enterprise Value	Drawing Power Haircut (25% Stock, 40% Debts)	60.0% – 75.0% of Enterprise Value	100.0% Equity Risk Capital
Interest Rate Benchmark & Spread	8.50% – 11.00% p.a. (MCLR / EBLR + 1.50%–2.50%)	9.50% – 14.50% p.a. (Risk-Adjusted Spread + Benchmark)	8.75% – 11.50% p.a. (Revolving Interest)	15.00% – 20.00% p.a. (Gross Internal Rate of Return - IRR)	Zero Fixed Coupon; 18.0%–25.0% Cost of Equity Upside
Principal Amortization Structure	Rigid Equal Monthly / Quarterly Installments	Sculpted, Step-Up/Step-Down, Bullet with Sweeps	Revolving Annual Credit Line Renewal	Bullet Repayment at Maturity with Redemption Premium	Permanent Capital (No Principal Amortization)
Moratorium / Grace Period	6 – 12 Months Maximum	12 – 36 Months Gestation Moratorium	N/A (Revolving Line)	24 – 48 Months (PIK Interest Options)	N/A
Primary Security Package	Exclusive First Mortgage on Fixed Assets	First Mortgage on Land/Assets + Hypothecation + Escrow TRA Charge	Hypothecation of Current Assets (Stock & Debts)	First/Second Charge + Share Pledge + Board Seats	Unsecured Equity Ownership
Financial Covenants	Standard DSCR ≥ 1.35x, FACR ≥ 1.25x	Dynamic Sculpted DSCR (1.20x - 1.50x), Cash Sweep Triggers	Current Ratio ≥ 1.33:1 (Tandon Second Method)	Asset Coverage Ratio ≥ 1.75x, Cash Burn Caps	Anti-dilution Clauses, Liquidation Preference

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Structural Dimension	Plain-Vanilla Term Loan	Structured Term Loan (STL)	Working Capital Cash Credit / WCDL	Private Credit / Mezzanine Debt	Equity / Convertible Capital
Escrow & Cash Ring-Fencing	Optional / Standard Operating Account	Mandatory 6-Tier TRA Escrow Waterfall	Collections Routing to CC Account	Mandatory Escrow TRA & Cash Sweep Accounts	Board Governance & Veto Rights
Corporate Use of Proceeds	Fixed Capital Expenditure Only	Growth Capex, M&A Buyouts, Debt Refinancing, Promoter Buybacks	Day-to-Day Operations & Inventory Purchase	Special Situations, Distress Buyouts, Recapitalization	Growth Capital, R&D, Expansion

Module 4: Common Eligibility Criteria, Credit Appraisal & Underwriting Framework

4.1 Borrower Eligibility Benchmarks

To qualify for a Structured Term Loan in India, corporate borrowers must satisfy rigorous quantitative and qualitative eligibility thresholds:

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QUALITATIVE & QUANTITATIVE BORROWER BENCHMARKS	
Financial Metric / Criteria	**Institutional Target Threshold**
Minimum Operational Track Record	≥ 3 to 5 Years Active Operations
External Credit Rating	CRISIL / ICRA / CARE / Ind-Ra BBB-
CIBIL Commercial Rank (CMR)	CMR 1 to CMR 4 (Low Credit Risk)
Projected Combined Asset DSCR	Target DSCR ≥ 1.35x (Floor = 1.20x)
Fixed Asset Coverage Ratio (FACR)	FACR ≥ 1.35x to 1.50x
Total Debt / EBITDA Multiple	Debt / EBITDA ≤ 3.50x to 4.50x
Interest Coverage Ratio (ICR)	ICR ≥ 2.00x to 2.50x
Tandon Method Current Ratio	Current Ratio ≥ 1.33:1
Promoter Equity Share Holding	Minimum 51.0% Promoter Shareholding

4.2 Quantitative Underwriting Formulas & Debt Sizing Mechanics

Institutional lenders size and structure STLs using six primary underwriting formulas:

1. Debt Service Coverage Ratio (DSCR):

$$extDSCR_t = racextCFADS_t extInterest_t + extPrincipalRepayment_t$$

Where Cash Flow Available for Debt Service ($ ext{CFADS}_t$) is defined as:

$$extCFADS_t = extEBITDA_t + extNon - CashDepreciation/Amortization_t - extCashTaxPaid_t - extM$$

Institutional Benchmark: Target DSCR $\geq 1.35extx$ across loan tenure; minimum single-year covenant floor $= 1.20extx$.

2. Fixed Asset Coverage Ratio (FACR) & Asset Coverage Ratio (ACR):

$$extFACR = racextNetBookValueofFixedMortgagedAssets + extIndependentRealizableLandValuee$$

$$extACR = racextTotalNetTangibleAssets - extShort - TermLiabilitiesextTotalOutstandingDebtSt$$

Institutional Benchmark: FACR $\geq 1.35extx$ to $1.50extx$; ACR $\geq 1.50extx$ to $2.00extx$.

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3. Total Debt to EBITDA Multiple:

$$extTotalDebt/EBITDA = racextSeniorSecuredDebt + extSubordinatedDebt + extWorkingCapitall$$

Institutional Benchmark: Total Debt / EBITDA $\leq 3.50extx$ to $4.50extx$.

4. Interest Coverage Ratio (ICR):

$$extICR = racextEBITDAextGrossInterestExpense$$

Institutional Benchmark: ICR $\geq 2.00extx$ to $2.50extx$.

5. Tandon Committee Second Method of Lending (MPBF for Working Capital / Credit Alignment):

$$extWorkingCapitalGap(WCG) = extTotalCurrentAssets - extCurrentLiabilities(excludingBankBor$$

$$extMaximumPermissibleBankFinance(MPBF) = 0.75imesextWCG - extCoreCurrentAssets$$

Under Tandon Committee Second Method rules, the borrower must contribute at least 25% of Total Current Assets from long-term funds, enforcing a minimum Current Ratio of 1.33:1 .

6. Cash Sweep Sizing Formula:

$$extCashSweepAmount_t = extMin(extSweepPercentageimes\left(extCFADS_t - extMandatoryDebtService_t - extCovenantBuffer_t\right), extPrepaymentCapight)$$

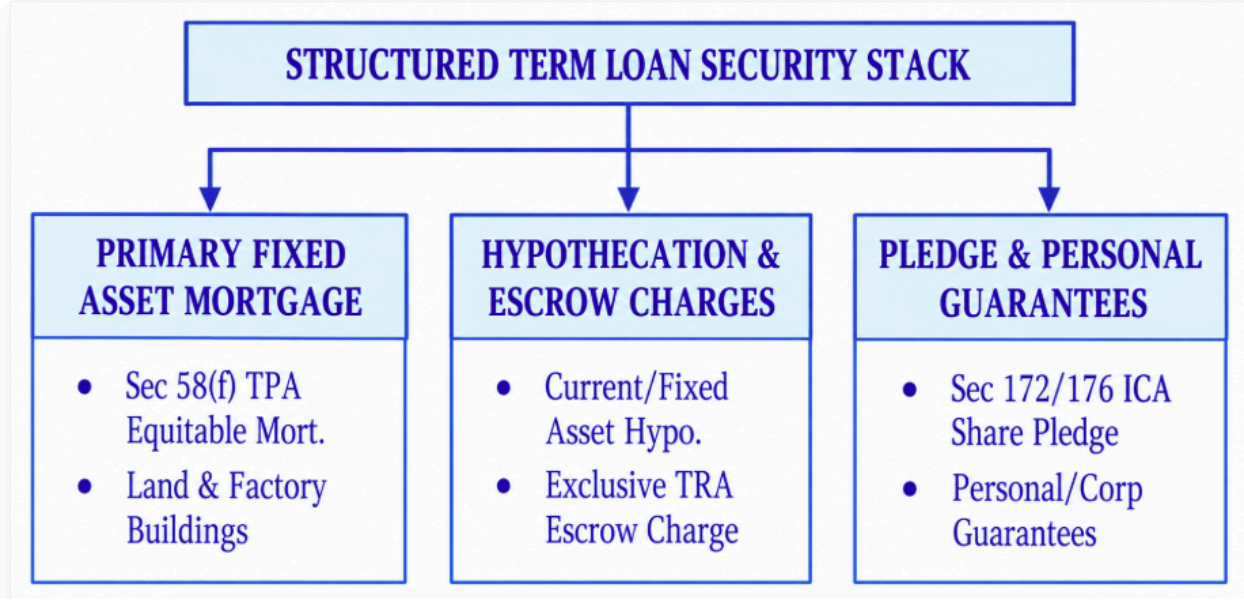
Typical sweep percentages range from 50% to 75% of unencumbered free cash flow above a 1.20x DSCR buffer.

Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Comprehensive Security Package

Lenders securing a Structured Term Loan require a multi-layered security architecture:

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1. **Primary First Charge on Fixed Assets:** Section 58(f) Equitable Mortgage registered under the Transfer of Property Act, 1882 over industrial land, factory buildings, office towers, and immovable infrastructure.
2. **First Charge on Movable Fixed & Current Assets:** First exclusive hypothecation charge under Section 2(1)(n) of the SARFAESI Act, 2002 over plant, machinery, equipment, unbilled Work-in-Progress (WIP), inventory, and trade receivables.
3. **Exclusive Charge over TRA Escrow Accounts:** First exclusive charge over all bank accounts, TRA Escrow Accounts, Debt Service Reserve Accounts (DSRA), and insurance proceeds.
4. **Promoter Equity Share Pledge:** Pledge of 51% to 100% of promoter equity shares in the borrower SPV/operating company under Section 172/176 of the Indian Contract Act, 1872, with power-of-attorney to sell pledged shares upon default.
5. **Personal & Corporate Guarantees:** Unconditional, irrevocable personal guarantees from promoter-directors and corporate cross-guarantees from holding/group companies.

5.2 Mandatory Statutory Filings & Legal Documentation

Executing a Structured Term Loan requires five critical legal instruments and statutory registrations: * **Facility Agreement & Mortgage Deed:** Master legal contract defining loan terms, interest rates, disbursal conditions, representations, warranties, covenants, and events of default. * **Debenture Trust Deed (DTD) / Security Trust Agreement:** Executed when structured debt is issued as Non-Convertible Debentures (NCDs), appointing a SEBI-registered Debenture Trustee (e.g., Vistra, Catalyst, SBICAP Trustee) to act on behalf of lenders. * **ROC Form CHG-1 Charge Filing:** Statutory charge registration with the Registrar of Companies (ROC) under Section 77 of the Companies Act, 2013 within 30 days of security creation. Failure to file CHG-1 voids the security against the liquidator and competing creditors under IBC Section 77(3). * **CERSAI Registration:** Filing with the

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Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within 30 days to establish public priority of mortgage rights. * **NeSL Information Utility Filing:** Registration of financial debt contract details with National E-Governance Services Limited (NeSL) under IBC Section 215, serving as indisputable proof of debt and default during insolvency proceedings.

5.3 Financial & Operational Covenants

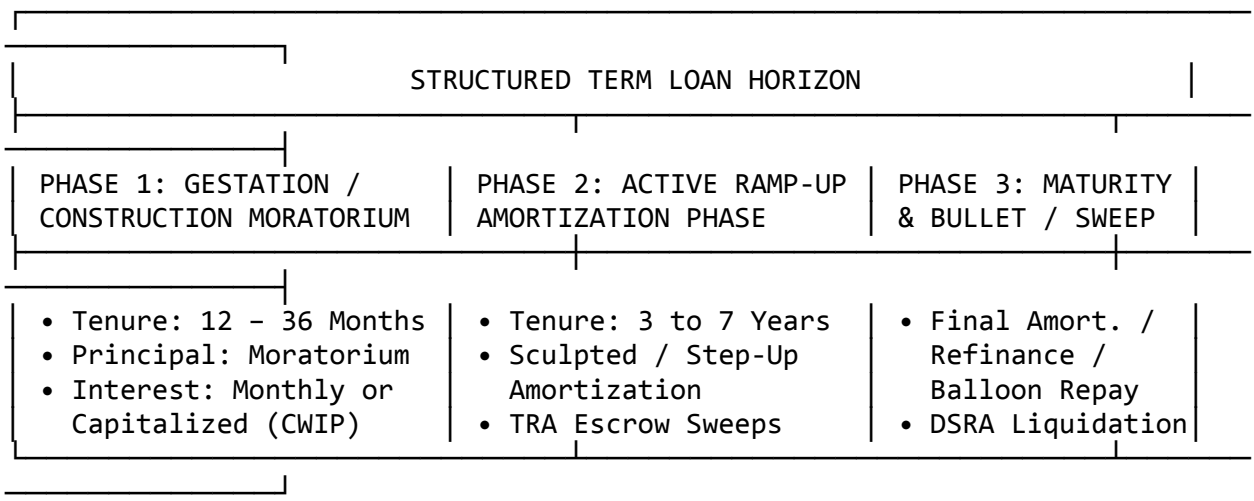
Structured Term Loans incorporate stringent financial and operational covenants: * **Financial Ratio Covenants:** * *Minimum DSCR Covenant:* Maintained at $\geq 1.20extx$ annually. * *Maximum Debt / EBITDA Covenant:* Capped at $\leq 3.50extx - 4.50extx$. * *Minimum FACR Covenant:* Maintained at $\geq 1.35extx$. * **Affirmative Covenants:** Regular submission of quarterly audited financial statements, monthly TRA escrow bank statements, annual LIE technical progress reports, GST return reconciliation, and CIBIL credit reports. * **Negative Covenants:** Absolute restriction on the borrower from undertaking the following actions without prior written Lender NOC: * Issuing promoter dividends or repaying subordinated promoter loans. * Incurring additional senior or junior indebtedness. * Executing mergers, acquisitions, corporate restructurings, or capital reductions. * Altering core business operations or selling major fixed assets.

Module 6: Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields

6.1 Indicative Tenure & Gestation Moratoriums

Structured Term Loans offer flexible medium-to-long term door-to-door tenures ranging from **3 Years to 10 Years (36 Months to 120 Months)**, structured into three distinct phases:

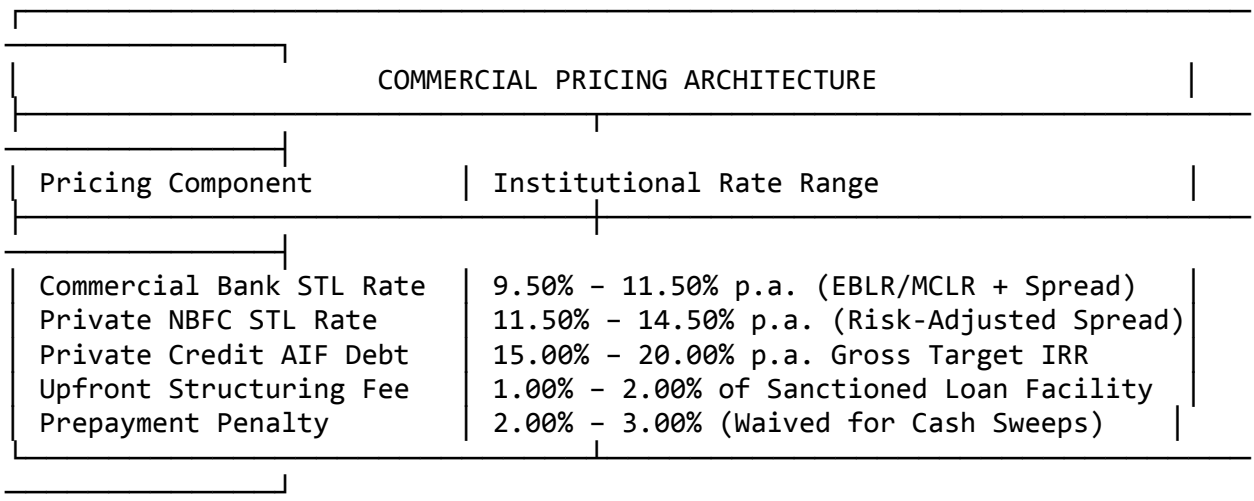
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- **Gestation / Construction Phase (12 to 36 Months):** 100% principal moratorium. Interest is either serviced monthly from operating revenue / DSRA or capitalized into Capital Work-in-Progress (CWIP) under Ind AS 23 rules.
- **Active Operational Ramp-Up Phase (36 to 84 Months):** Principal amortizes under a sculpted or step-up schedule matched to operational cash flow generation.
- **Maturity / Refinance Phase (Month 60 to Month 120):** Final principal repayment via structured balloon installment, refinance via long-term bank infrastructure lines, or full extinguishment via accumulated cash sweeps.

6.2 Commercial Pricing Mechanics

Pricing on Structured Term Loans reflects a risk-adjusted spread over floating benchmark rates:



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6.3 Accounting Treatment (Ind AS 16 & Ind AS 23)

Structured Term Loans are governed by two primary Indian Accounting Standards (Ind AS): * **Ind AS 16 (Property, Plant and Equipment):** Mandates that all direct costs incurred in acquiring and installing capital equipment or constructing facilities funded by STLs are recognized as asset book values. Depreciation is claimed systematically across the asset's useful life. * **Ind AS 23 (Borrowing Costs):** Interest and borrowing fees directly attributable to the acquisition or construction of a "qualifying asset" (an asset requiring a substantial period of time to get ready for its intended use) are capitalized as part of the asset's cost (CWIP). Interest capitalization ceases once the asset is ready for commercial operations (DCCO), after which interest is expensed directly to the Profit & Loss (P&L) statement as a finance cost.

6.4 The Section 36(1)(iii) Income Tax Shield Advantage

Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for the purpose of business operations is **100% tax-deductible** as a revenue expense.

This statutory tax deduction creates a significant "Tax Shield," dramatically lowering the effective post-tax cost of borrowing:

$$extEffectivePost - TaxBorrowingYield\left(K_{d,extpost}\right) = extNominalBorrowingRate\left(K_{d}\right)imes\left(1 - T_{extcorp}\right)$$

Where $T_{extcorp}$ is the applicable Indian corporate tax rate (25.168% under Section 115BAA inclusive of Surcharge and Cess):

$$ ext{For a 10.00\% Nominal Interest Rate: } K_{d, ext{post}} = 10.00\% imes (1 - 0.25168) = \mathbf{7.4832\% \quad (pprox 7.48\% ext{ p.a.})}$$

$$ ext{For a 12.00\% Nominal Interest Rate: } K_{d, ext{post}} = 12.00\% imes (1 - 0.25168) = \mathbf{8.9798\% \quad (pprox 8.98\% ext{ p.a.})}$$

In contrast, equity dividend distributions and promoter equity buybacks provide zero tax deduction under Indian tax law. This tax asymmetry makes Structured Term Loans highly accretive to Return on Equity (ROE) and Weighted Average Cost of Capital (WACC).

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Module 7: Suitable Industries, Business Profiles & Market Alignment

7.1 Target Corporate Profiles

Structured Term Loans are ideally suited for mid-market and large corporate entities exhibiting specific operational characteristics:

SUITABLE CORPORATE BUSINESS PROFILES	
Corporate Profile	**Operational Use Case for STL**
Mid-Market Growth Corporates (Turnover ₹100 Cr – ₹1,500 Cr)	Funding Brownfield Capacity Expansion & Automation Capex
M&A / Corporate Acquirers	Financing Strategic Buyouts & Cross-Border Share Acquisitions
Refinancing & Capital Restruct.	Replacing Inflexible High-Cost Debt with Extended Amortization STLs
Infrastructure & Energy SPVs	Funding Bridge Capex prior to Long-Term InvIT Refinancing
Holding Companies / Promoters	Capitalizing Operating Subsidiaries Without Equity Share Dilution

7.2 Key Industry Verticals in India

STLs are extensively deployed across high-growth industrial sectors in India: 1. **Advanced Manufacturing & Auto Components:** Funding PLI-backed greenfield plant setup, automated SMT lines, and EV battery component manufacturing lines. 2. **Pharmaceuticals & Specialty Chemicals:** Financing USFDA/EU-GMP compliant API plant expansions, contract manufacturing (CDMO) acquisitions, and R&D facilities. 3. **Infrastructure, Power & Renewable Energy:** Funding bridge capex for 500MW+ solar/wind hybrid parks, transmission line EPC, and highway expansion projects. 4. **Commercial Real Estate & Logistics Parks:** Funding Grade-A PEB warehouse parks, data centers, and commercial office towers prior to Lease Rental Discounting (LRD) conversion. 5. **Healthcare & Higher Education:** Funding multi-specialty hospital expansions and university campus infrastructure matched to student fee collection cycles.

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Module 8: Key Advantages and Strategic Limitations of Structured Term Loans

8.1 Strategic Advantages for Corporate Borrowers

- **Optimized Cash Flow Matching:** Eliminates immediate debt service distress by aligning principal amortization with actual operational cash flow generation.
- **Preservation of Promoter Equity:** Unlocks high-volume growth capital (₹50 Cr to ₹500+ Cr) without diluting promoter shareholding or management control.
- **Substantial Reduction in WACC:** Replaces high-cost equity (18%–22% cost) with tax-deductible structured debt (9.50%–12.50% nominal cost; 7.11%–9.35% post-tax cost).
- **Enhanced Financial Flexibility:** Incorporates step-up schedules, interest-only grace periods, and cash sweeps that cushion against macroeconomic downturns.
- **Single-Window Capital Consolidation:** Consolidates fragmented short-term liabilities into a single, structured long-term facility with unified covenant monitoring.

8.2 Strategic Limitations & Risk Factors

- **Rigid TRA Escrow Cash Ring-Fencing:** Corporate revenues are locked into a bank-controlled TRA Escrow Account, restricting unencumbered promoter cash withdrawals.
- **Higher Upfront Transaction & Legal Costs:** Upfront structuring fees (1.00%–2.00%), TEV study charges, debenture trustee fees, and ROC/CERSAI registration costs exceed plain-vanilla loan setup expenses.
- **Prepayment & Cash Sweep Restrictions:** Mandatory cash sweep covenants enforce automatic debt reduction during high-profit years, preventing promoters from building unencumbered cash reserves.
- **Strict Statutory & Covenant Monitoring:** Non-compliance with financial ratio covenants (DSCR < 1.20x) or delayed ROC CHG-1 filings triggers immediate covenant breach penalties and potential acceleration of debt.

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Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

9.1 Corporate Background & Project Scope

Borrower Entity: *Mumbai Structured Engineering & Industrial Holdings Pvt. Ltd. (MSEIHPL)*, a mid-market precision auto-components manufacturer based in Chakan, Pune. * **Historical Annual Revenue:** ₹300.00 Crores. * **Historical EBITDA:** ₹45.00 Crores (15.0% EBITDA Margin). * **Corporate Requirement:** MSEIHPL was awarded a 7-year multi-billion Rupee supply contract by a leading global EV manufacturer. To execute the contract, MSEIHPL required **₹200.00 Crores** ($24.10 Million USD) to fund a Brownfield Manufacturing Expansion (₹120 Crores) and Refinance Inflexible Legacy Bank Debt (₹80 Crores @ 13.50% p.a.). * **Project Gestation Period:** 24 Months Construction and Equipment Commissioning.

9.2 The Strategic Dilemma: Option A vs Option B

MSEIHPL evaluated two distinct corporate financing pathways:

FINANCING PATHWAY COMPARISON MATRIX

Architectural Parameter	Option A: *Plain-Vanilla Loan*	Option B: Structured Term Loan (STL)
Sanctioned Debt Limit	₹100.00 Crores (50% LTV Cap)	₹140.00 Crores (70% LTV / LTC Cap)
Promoter Cash Equity Req.	₹100.00 Crores (50% Margin - Heavy Lockup)	₹60.00 Crores (30% Margin - ₹40 Cr Saved!)
Interest Rate & Spread	12.00% p.a. (Fixed High Spread)	9.75% p.a. (MCLR + 1.25% Benchmark)
Construction Moratorium	6 Months Only (Premature Repayment)	24 Months Gestation Moratorium
Amortization Structure	5-Year Straight Amort. (₹20 Cr/yr)	8-Year Sculpted Amortization + Sweeps
Escrow TRA Ring-Fencing	Standard Operating Account	Mandatory 6-Tier TRA Escrow Waterfall

9.3 Comparative Financial Modeling & Cash Flow Analysis

Option A: Traditional Plain-Vanilla Commercial Term Loan

- **Sanctioned Loan Facility:** ₹100.00 Crores @ 12.00% p.a.
- **Required Promoter Equity Margin (50%): ₹100.00 Crores** (Severe cash equity lockup).
- **Moratorium:** 6 Months.
- **Amortization:** 5-Year Straight Amortization (₹20.00 Crores / year principal).
- **Year 1 Debt Service Outflow:**

$$extInterest = ₹100.00 extCrimes 12.00\% = ₹12.00 extCrores$$

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$$extPrincipalAmortization(6Months) = ₹10.00extCrores$$

$$extTotalYear1Outflow = ₹22.00extCrores$$

- **Year 1 Cash Flow Available for Debt Service (CFADS):** During Year 1, plant expansion is under construction. CFADS from legacy operations is only **₹18.00 Crores**.
- **Year 1 Cash Deficit:**

$$extNetDeficit = ₹18.00extCr - ₹22.00extCr = - ₹4.00extCrores \quad (extACUTECASHDEFAULT!)$$

- **Year 1 DSCR:**

$$extDSCR = rac₹18.00extCr₹22.00extCr = 0.818x \quad (extINSOLVENCYDEFAULTTRIGGER!)$$

Option B: Structured Senior Secured Term Loan (STL)

- **Sanctioned Loan Facility:** ₹140.00 Crores @ 9.75% p.a. (70% LTV/LTC Sizing).
- **Required Promoter Equity Margin (30%): ₹60.00 Crores** (Preserves **₹40.00 Crores in liquid corporate equity**!).
- **Gestation Moratorium:** 24 Months Principal Moratorium (Interest capitalized into CWIP under Ind AS 23 during construction).
- **Amortization:** 8-Year Post-COD Sculpted Amortization + 50% Cash Flow Sweep.
- **Year 1 Debt Service Outflow: INR 0.00** (Interest of ₹13.65 Crores capitalized into CWIP under Ind AS 23; fully solvent!).
- **Year 1 Operational Liquidity:** 100% of legacy operating CFADS (₹18.00 Crores) is retained, preserving corporate solvency.
- **Year 3 Stabilized Operations (Post-COD Ramp-Up):**
  - Annual Revenue Realized: ₹520.00 Crores.
  - Annual EBITDA Realized: ₹88.40 Crores (17.0% EBITDA Margin).
  - Annual CFADS: ₹68.00 Crores.
  - Annual Scheduled Debt Service: Principal ₹14.00 Crores + Interest ₹13.65 Crores = ₹27.65 Crores.
- **Year 3 Stabilized DSCR:**

$$extDSCR_{extYear3} = rac₹68.00extCr₹27.65extCr = 2.459x \quad (extPRIMEINVESTMENTGRADE!)$$

9.4 Cumulative 5-Year Wealth Surplus & Strategic Valuation Impact

1. Promoter Equity Cash Preserved:

$$extEquityPreserved = ₹100.00extCr(OptionA) - ₹60.00extCr(OptionB) = + ₹40.00extCrores$$

2. Direct Pre-Tax & Post-Tax Interest Savings:

- *Option A 5-Year Interest Outflow:* ₹48.00 Crores.
- *Option B 5-Year Interest Outflow:* ₹38.25 Crores.
- *Direct Pre-Tax Interest Savings:* $₹48.00extCr - ₹38.25extCr = + ₹9.75extCrores$.

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- *Section 36(1)(iii) Tax Shield Advantage (@ 25.168% Tax Rate):*

$$extNetPost - TaxInterestSavings = ₹9.75extCrimes(1 - 0.25168) =+ ₹7.296extCrores$$

3. Reinvestment Operating Income Earned on Preserved Equity:

The ₹40.00 Crores of preserved promoter equity was reinvested into a high-yielding export tooling line earning an 18.00% Return on Capital Employed (ROCE) over 5 years:

$$extCumulativePost - TaxReinvestmentIncome = ₹40.00extCrimes18.00\%imes(1 - 0.25168)imes5extYears =+ ₹26.939extCrores$$

4. Total Opportunity-Adjusted Net Financial Wealth Surplus Generated:

$$extTotalWealthSurplus = extDirectPost - TaxSavings(+ ₹7.30extCr) + extReinvestmentIncome(+ ₹26.94extCr) + extFeesAdj.(- ₹0.70extCr) =+ ₹33.54extCRORE$$

$$Total \quad Strategic \quad Wealth \quad Surplus \quad = \quad + ₹33,53,90,000.00 \quad (+ ₹33.54 \quad CRORES)$$

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Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework

10.1 RBI Income Recognition & Asset Classification (IRACP) Norms

Structured Term Loans are subject to strict RBI IRACP monitoring rules across all scheduled banks and NBFCs: * **Special Mention Account (SMA) Tracking:** * *SMA-0:* Principal or interest payment overdue for 1 to 30 days. * *SMA-1:* Principal or interest payment overdue for 31 to 60 days. * *SMA-2:* Principal or interest payment overdue for 61 to 90 days. * **Non-Performing Asset (NPA) Classification:** Automatic classification as NPA if interest or principal remains overdue for **more than 90 days**. Upon NPA classification, the lender must cease income recognition on an accrual basis and create mandatory loan loss provisions (15% for Substandard assets; 25%–100% for Doubtful assets).

10.2 Statutory Recovery & Insolvency Enforcement

In the event of an uncurable covenant default under a Structured Term Loan, participating lenders possess powerful legal remedies: 1. **SARFAESI Act Section 13(2) & 13(4) Enforcement:** Issuance of a 60-day demand notice to the borrower and guarantors. Upon non-payment, the lender enforces physical possession of mortgaged land, buildings, and plant machinery under Section 14 with Magistrate assistance, taking over business management or auctioning assets without court intervention. 2. **IBC Section 7 Corporate Insolvency (CIRP):** As "Financial Creditors" under Section 5(8) of the Insolvency and Bankruptcy Code, 2016, lenders file a CIRP application before the National Company Law Tribunal (NCLT) for debt defaults exceeding ₹1.00 Crore, resulting in the suspension of the promoter board and appointment of an Resolution Professional (RP). 3. **Execution of Pledged Shares:** Direct execution of Section 172/176 Contract Act share pledges, transferring 51%–100% promoter equity ownership to lenders to effectuate a management takeover.

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Module 11: Professional Certification Examination & Detailed Rationales

This certification examination evaluates a finance candidate's technical mastery of **Structured Term Loans**, structural credit mechanics, statutory registration rules, tax shield mathematics, and default enforcement frameworks in India.

Question 1

A corporate borrower is seeking a ₹100 Crore Structured Term Loan to fund a brownfield plant expansion. The project requires a 24-month construction period during which operational cash flows will be zero. Which amortization structure is most appropriate to prevent technical default during construction? A) Equal Monthly Installments (EMI) commencing 30 days post-disbursal
B) A 24-month principal moratorium with interest capitalized into Capital Work-in-Progress (CWIP) under Ind AS 23
C) Straight 5-year equal quarterly principal amortization starting in Month 1
D) Daily cash sweep of existing corporate operating accounts

Correct Answer: B

Detailed Technical Rationale: Under Ind AS 23 (Borrowing Costs), interest directly attributable to the acquisition or construction of a qualifying asset is capitalized into Capital Work-in-Progress (CWIP) during the construction gestation period. Providing a 24-month principal moratorium eliminates debt service cash drain during construction, insulating the borrower against cash insolvency until commercial operations generate operational CFADS.

Question 2

Under Section 36(1)(iii) of the Income Tax Act, 1961, how is interest paid on a Structured Term Loan treated for corporate tax purposes, and what is the effective post-tax borrowing cost for a company subject to a 25.168% tax rate borrowing at a nominal rate of 10.00% p.a.? A) Interest is non-deductible; effective post-tax cost remains 10.00% p.a.
B) Interest is 100% tax-deductible as a revenue expense; effective post-tax cost is 7.4832% p.a.
C) Interest is treated as a capital reduction; effective post-tax cost is 12.5168% p.a.
D) Interest is deductible up to 50% only; effective post-tax cost is 8.7416% p.a.

Correct Answer: B

Detailed Technical Rationale: Section 36(1)(iii) of the Income Tax Act, 1961 allows a 100% deduction for interest paid on capital borrowed for business operations. The effective post-tax borrowing cost is calculated as:

$$K_{d,extpost} = K_{d}imes\left(1 - T_{extcorp}\right) = 10.00\%imes(1 - 0.25168) = 7.4832\%extp.a.$$

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This tax shield significantly reduces the effective cost of debt compared to equity dividends, which offer zero tax deduction.

Question 3

What is the statutory deadline for registering a charge created on corporate assets with the Registrar of Companies (ROC) via Form CHG-1 under Section 77 of the Companies Act, 2013, and what is the consequence of failing to register? A) 60 days; the loan automatically converts into equity
B) 30 days; the charge becomes void against the liquidator and competing creditors under Section 77(3)
C) 90 days; a nominal administrative fine of ₹1,000 is imposed
D) 15 days; the bank's license is suspended by the RBI

Correct Answer: B

Detailed Technical Rationale: Section 77 of the Companies Act, 2013 mandates that every company creating a charge on its assets must register the details with the ROC in Form CHG-1 within 30 days. Under Section 77(3), an unregistered charge is void against the liquidator and any competing creditor during corporate insolvency proceedings under the Insolvency and Bankruptcy Code (IBC), 2016.

Question 4

In a 6-Tier Trust and Retention Account (TRA) Escrow Cash Flow Waterfall, which payment obligation holds higher statutory priority than Senior Debt Interest and Principal servicing?
A) Promoter Dividend Distributions
B) Subordinated Debt Service
C) Statutory Taxes (GST/TDS) and Essential Operational Expenses (O&M)
D) Discretionary Capital Expenditure

Correct Answer: C

Detailed Technical Rationale: In a standard TRA Escrow Waterfall, Tier 1 is reserved for statutory dues (GST, TDS, property taxes) to prevent statutory encumbrances, and Tier 2 covers essential operational expenses (O&M, utility bills, employee salaries) to ensure the physical asset remains operational and cash-generative. Senior debt interest and principal servicing are positioned at Tier 3.

Question 5

A corporate borrower generates an annual EBITDA of ₹50.00 Crores, pays ₹5.00 Crores in cash taxes, incurs ₹5.00 Crores in maintenance capex, and experiences a ₹2.00 Crore increase in net working capital. If annual debt service (interest + principal) is ₹25.00 Crores, what is the borrower's DSCR? A) 2.00x
B) 1.52x

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C) 1.20x
D) 1.60x

Correct Answer: B

Detailed Technical Rationale: Cash Flow Available for Debt Service (CFADS) is calculated as:

$$extCFADS = extEBITDA - extCashTaxes - extMaintenanceCapex - \Delta extNWC$$

$$extCFADS = ₹50.00extCr - ₹5.00extCr - ₹5.00extCr - ₹2.00extCr = ₹38.00extCrores$$

$$extDSCR = racextCFADSextDebtService = rac₹38.00extCr₹25.00extCr = 1.52x$$

Question 6

Under the Reserve Bank of India (RBI) IRACP norms, after how many days of continuous overdue principal or interest payment does a Structured Term Loan account automatically classify as a Non-Performing Asset (NPA)? A) 30 Days
B) 60 Days
C) 90 Days
D) 180 Days

Correct Answer: C

Detailed Technical Rationale: Under RBI IRACP Master Directions, a term loan facility is classified as an NPA if interest or principal installment remains overdue for a period exceeding 90 days. Prior to 90 days, the account is tracked as Special Mention Account (SMA-0 for 1-30 days, SMA-1 for 31-60 days, and SMA-2 for 61-90 days).

Question 7

What is the primary purpose of a “Cash Flow Sweep” mechanism in a Structured Term Loan agreement? A) To automatically transfer 100% of promoter personal bank accounts to the lender
B) To capture a pre-agreed percentage (e.g., 50%–75%) of unencumbered excess cash flows above a threshold DSCR to prepay senior loan principal
C) To convert senior debt into common equity shares upon every quarterly review
D) To pay discretionary annual bonuses to corporate directors

Correct Answer: B

Detailed Technical Rationale: A Cash Flow Sweep is a structural credit enhancement covenant that requires the borrower to allocate a percentage (typically 50% to 75%) of residual free cash flow (after meeting operational expenses, statutory taxes, and regular debt service) toward prepaying outstanding loan principal. This mechanism rapidly de-leverages the corporate balance sheet during high-profit operating years.

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Question 8

Under the Tandon Committee Second Method of Lending for working capital and corporate credit appraisal, what is the minimum Current Ratio required for a corporate borrower? A) 1.00 : 1
B) 1.33 : 1
C) 1.75 : 1
D) 2.00 : 1

Correct Answer: B

Detailed Technical Rationale: The Tandon Committee Second Method of Lending mandates that a corporate borrower must fund at least 25% of its Total Current Assets from long-term funds (promoter equity or long-term debt). Mathematically, this requirement enforces a minimum Current Ratio of 1. 33: 1.

Question 9

Which legal instrument empowers lenders to take physical possession of mortgaged commercial land and buildings without court intervention upon default under a Structured Term Loan? A) Negotiable Instruments Act, 1881 (Section 138)
B) SARFAESI Act, 2002 (Section 13 and Section 14)
C) Consumer Protection Act, 2019
D) Arbitration and Conciliation Act, 1996

Correct Answer: B

Detailed Technical Rationale: Under Section 13(2) and 13(4) of the SARFAESI Act, 2002, secured lenders issuing a 60-day demand notice can enforce security interests over mortgaged assets upon default. Section 14 authorizes District Magistrates / Chief Metropolitan Magistrates to assist lenders in taking physical possession of mortgaged land and buildings without requiring court litigation.

Question 10

In a multi-tranche Structured Term Loan, how does Tranche A Senior Secured Debt differ from Tranche B Subordinated Debt? A) Tranche A holds a first exclusive charge on fixed assets and receives debt service prior to Tranche B in the TRA waterfall
B) Tranche A is completely unsecured and carries a 25% interest rate
C) Tranche B has statutory priority over GST tax payments
D) Tranche B is backed by a 100% government guarantee

Correct Answer: A

Detailed Technical Rationale: Tranche A Senior Debt holds a first exclusive mortgage and hypothecation charge on fixed assets and escrowed revenues. In the TRA Escrow Waterfall, Tranche A debt service (Tier 3) is fully satisfied before any cash flow is allocated to Tranche B Subordinated Debt (Tier 5), providing Tranche A lenders with superior credit protection and lower interest rates.

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